CHAPTER 6

SOCIAL RESPONSIBILITIES AND BUSINESS ETHICS

CHAPTER ESSENCE AT A GLANCE:
Examine the societal contract of enterprise: arguments for and against social responsibility, stakeholder responsibility matrices, environmental protection, and corporate business ethics.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Corporate Social Responsibility (CSR):** The obligation of enterprise managers to pursue policies and make decisions that are desirable in terms of the objectives and values of our society beyond pure profit generation.

• **Stakeholder Responsibility Matrix:** Enterprises owe specific obligations to: Shareholders (fair dividend return), Workers (fair wages, safe conditions), Consumers (quality goods, fair prices), and Government or Community (tax compliance, environmental protection).

• **Environmental Pollution Controls:** Industrial enterprises must adopt systematic emission and effluent controls to prevent air, water, land, and noise pollution in preservation of ecological balance.

• **Business Ethics and Moral Governance:** Socially determined moral principles guiding enterprise behavior, characterized by publication of formal codes of ethics, top management commitment, and employee involvement.

ESSENTIAL FORMULAS & GOVERNING EQUATIONS

$$\text{CSR Quadruple Model} = \text{Economic (Profit)} + \text{Legal (Law)} + \text{Ethical (Fairness)} + \text{Philanthropic (Giving)}$$

Carroll Quadruple Responsibility Taxonomy

$$\text{Stakeholder Equilibrium} = \text{Shareholders} + \text{Employees} + \text{Consumers} + \text{Society / State}$$

Corporate Multilateral Responsibility Framework

$$\text{Pollution Prevention Mandate} = \text{Clean Technology} + \text{Waste Recycling} + \text{Effluent Treatment}$$

Ecological Sustainable Enterprise Model

$$\text{Business Ethics Architecture} = \text{Code of Conduct} + \text{Executive Integrity} + \text{Compliance Audits}$$

Enterprise Ethical Governance System

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Social responsibility is broader than legal compliance; legal responsibility is enforced by statutory law, whereas social responsibility is voluntary moral commitment.

• **Alert:** Paying fair wages and providing safe working conditions is a responsibility toward employees, not consumers.

• **Alert:** Under the Companies Act 2013, qualifying companies must spend at least 2 percent of average net profits of the preceding three years on CSR activities.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. Define Corporate Social Responsibility (CSR). State any two reasons in favor of social responsibility. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** The obligation of enterprise management to make decisions that safeguard and enhance the welfare of society alongside corporate profits. **[1 Mark]**

• **Reasons in Favor:** (1) Long-term self-interest of business, (2) Avoidance of harsh government regulatory intervention. **[1 Mark]**

2. What is Business Ethics? Give one example of an ethical business practice. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** The moral principles and standards that define acceptable conduct in the commercial business world. **[1 Mark]**

• **Example:** Accurate truthful advertising without deceptive or misleading claims about product efficacy. **[1 Mark]**

3. Explain the social responsibility of a business enterprise toward: (a) Consumers, (b) Workers, (c) Shareholders. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **(a) Toward Consumers:** Supply high-quality standardized goods at reasonable prices, prevent adulteration, and maintain prompt customer grievance redressal. **[1 Mark]**

• **(b) Toward Workers:** Provide fair wages, safe working environment, opportunities for career training, and respect trade union collective bargaining. **[1 Mark]**

• **(c) Toward Shareholders:** Ensure safety of invested capital, provide fair regular dividend returns, and publish transparent audited financial disclosures. **[1 Mark]**

4. State the responsibilities of business toward the Government and the Local Community. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Toward Government:** Pay corporate income taxes and GST honestly and promptly, and abide by statutory laws and industrial pollution norms. **[1.5 Marks]**

• **Toward Local Community:** Generate local employment, prevent industrial pollution, and support local educational and healthcare development. **[1.5 Marks]**

5. Discuss the major types of pollution caused by industrial commercial enterprises and their adverse impacts. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Air Pollution:** Carbon emissions and toxic smoke causing respiratory ailments and global warming. **[1 Mark]**

• **Water Pollution:** Industrial chemical effluents dumped into rivers killing marine life and contaminating community drinking water. **[1 Mark]**

• **Land and Noise Pollution:** Dumping non-biodegradable industrial toxic solid wastes degrading soil fertility, and factory machinery noise causing auditory impairment. **[1 Mark]**

6. Explain the major elements required to build an effective business ethics culture in an enterprise. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Top Management Commitment:** Chief executive leadership demonstrating ethical conduct personally and guiding the entire organization. **[1 Mark]**

• **Publication of Code of Conduct:** Formulating a written code covering honesty, product safety, fair pricing, and non-discrimination. **[1 Mark]**

• **Establishment of Compliance Mechanisms:** Setting up ethical compliance committees and whistle-blower protection channels. **[1 Mark]**

7. Explain the four categories of Corporate Social Responsibility according to Carroll's model: Economic, Legal, Ethical, and Discretionary (Philanthropic) responsibilities. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **Economic Responsibility:** Foundational responsibility to produce goods demanded by society and sell them at a profit to remain financially viable. **[1 Mark]**

• **Legal Responsibility:** Obligation to operate within the codified laws of the land and statutory regulatory frameworks. **[1 Mark]**

• **Ethical Responsibility:** Behavior and social norms expected by society though not codified into formal legal statutes (e.g. respecting consumer sentiments). **[1 Mark]**

• **Discretionary Responsibility:** Voluntary charitable and philanthropic contributions such as establishing educational trusts, disaster relief, and community libraries. **[1 Mark]**